REIMAGINING MULTILATERALISM: INDIA ACTING AS A BRIDGE BETWEEN ECONOMICALLY DEVELOPED AND DEVELOPING NATIONS

Authors

[1]Tushar Mitra, [2]Sukriti Gupta

Abstract

In an era defined by geopolitical fragmentation and the erosion of a rules-based multilateral order, India has strategically positioned itself as the "universal bridge" between the Global North and the Global South. This research paper evaluates India's multidimensional approach to "Reimagining Multilateralism," examining how it balances the strategic interests of developed nations with the developmental aspirations of the emerging world. Utilizing high-frequency data from the IMF (2026), World Bank, and RBI (DBIE), the study highlights India's status as the world's fourth-largest economy with a projected GDP growth of 7.3% for FY25-26. Beyond traditional economic metrics, the paper incorporates a novel analysis of India's growing "hard-power" contributions through defence exports, which reached a record ₹23,622 crore ($2.76 billion) in FY24-25, and its "soft-power" assets, including a $125 billion diaspora remittance flow and the global institutionalization of the International Day of Yoga. The study employs a secondary data-driven methodology to analyse how India's Digital Public Infrastructure (DPI) and the Global Development Compact (proposed at the 3rd Voice of Global South Summit) offer scalable, transparent alternatives to traditional debt-heavy developmental models. Findings suggest that India's role is not merely as a mediator but as a "normative stabilizer" that advocates for sovereign debt restructuring and technology transfer while maintaining robust trade relations with the G7. The paper concludes that India's success in bridging the North-South divide is predicated on its ability to integrate its civilizational soft power with contemporary economic realism. By acting as a "voice for the voiceless" in forums like the G20—where it secured permanent membership for the African Union—India is reshaping the multilateral landscape into a more inclusive, human-centric, and multipolar system.

Keywords: Global Governance, Multilateralism, Global South, Viksit Bharat 2047

[12]*Computer Science and Engineering (B. Tech), Kalinga Institute of Industrial Technology*

Emails: tushar24.mitra@gmail.com , sukriti.karu@gmail.com

Introduction

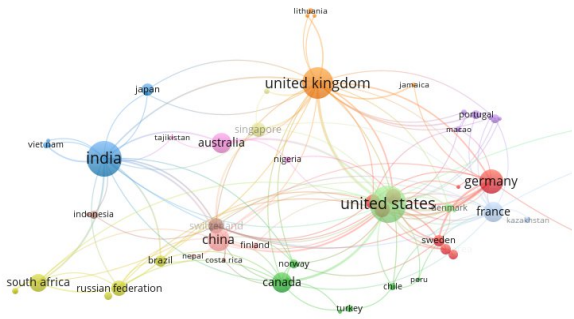
The global economic architecture in 2026 stands at a critical crossroads, defined by a "polycrisis" of geopolitical fragmentation, supply chain "derisking," and a widening developmental gap between the Global North and South. As traditional multilateral institutions struggle to maintain relevance, India has emerged as a "pivotal power," uniquely positioned to bridge these structural divides. This role is anchored in India's exceptional macroeconomic resilience; with an IMF-projected GDP growth of 7.3% for FY25-26, India has surpassed Japan to become the world's fourth-largest economy. This economic gravity, supported by foreign exchange reserves exceeding $700 billion and stabilized inflation, provides the material foundation for India to transition from a "rule-taker" to a "rule-shaper" in the international arena.

However, India's bridging role extends beyond traditional GDP metrics. It is increasingly defined by a synergy of "Hard Power," "Soft Power," and "Digital Power." On the hard-power front, India's defence exports reached a record ₹23,622 crore ($2.76 billion) in FY25, providing developing nations with affordable, high-tech security alternatives that do not carry the political conditionalities of traditional Western or Northern blocs. Simultaneously, India's soft power—fuelled by a $125 billion remittance economy and the global institutionalization of Ayurveda and Yoga—builds a foundation of trust and cultural connectivity that transcends ideological barriers.

Central to this "Reimagined Multilateralism" is the export of the India Stack. By offering its Digital Public Infrastructure (DPI) to over 60 countries, India is facilitating a "third way" of development that prioritizes financial inclusion and sovereign digital equity. From championing the African Union's inclusion in the G20 to launching the Global Development Compact, India is operationalizing its philosophy of Vasudhaiva Kutumbakam (The World is One Family). This paper argues that India's strategic autonomy allows it to remain a "Vishwa Bandhu" (Global Friend), harmonizing the capital and technology of the North with the urgent developmental aspirations of the South to create a more inclusive, human-centric global order.

Literature Review

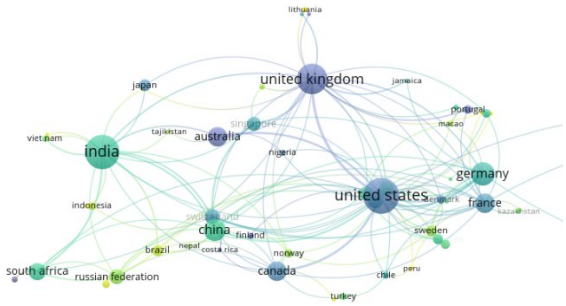
Image 1: Results of VOSviewer showing network visualization of co-author and country



Source: Authors own generated using scopus database

This network visualization displays country collaborations. Node size indicates prominence and connecting lines show partnerships. Countries like India, United States, Germany and United Kingdom have strong connections, while Japan, Turkey and Lithuania appear more isolated. Clusters suggest regional cooperation, with some countries forming distinct groups like India, United States, Germany and United Kingdom.

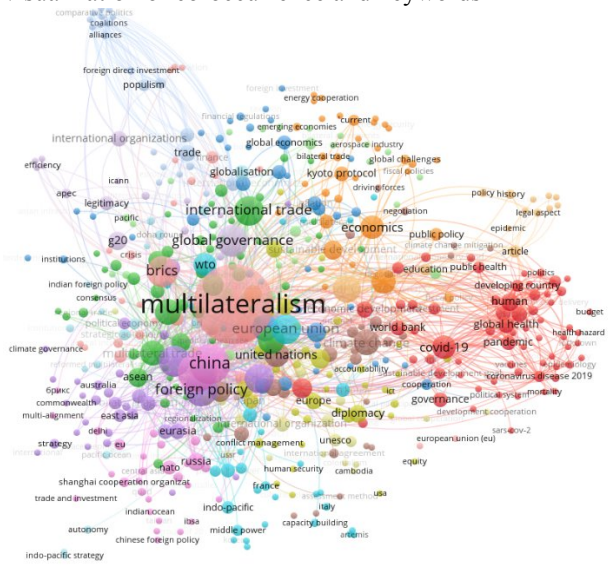
Image 2: Results of VOSviewer showing overlay visualization of co-author and country



Source: Authors own generated using scopus database

This network map visualizes country collaborations over time, indicated by colour gradients from purple (2014) to yellow (2024). Node sizes represent prominence. Key collaborators are India, United States, Germany and United Kingdom. Japan, Turkey and Lithuania remain more isolated, and there's visible temporal growth in connections, particularly for some of the emerging clusters, Iran, Peru and Qatar having recent collaborations.

Image 3: Results of VOSviewer showing network visualization of co-occurrence and keywords



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This network visualization shows the interconnections of research keywords related to sustainable consumption. Node size indicates keyword frequency, with "multilateralism", "global governance", “international trade” and “foreign policy” being prominent. The connecting lines (links) indicate co-occurrence of terms within the publications, with thicker lines implying stronger relationships. The size and colour of the circles represent the strength of association and cluster membership.

Objectives

1. To evaluate India’s macroeconomic resilience and growth trajectory as the foundational material power for mediating global economic interests.

2. To analyse how Indian defence exports and digital public infrastructure provide developing nations with non-aligned, scalable developmental alternatives.

3. To investigate the synergy between civilizational soft power and strategic diplomacy in reformulating inclusive, human-centric multilateral institutions.

4. To assess the impact of India's Global Development Compact on sovereign debt restructuring and sustainable North-South cooperation.

Methodology

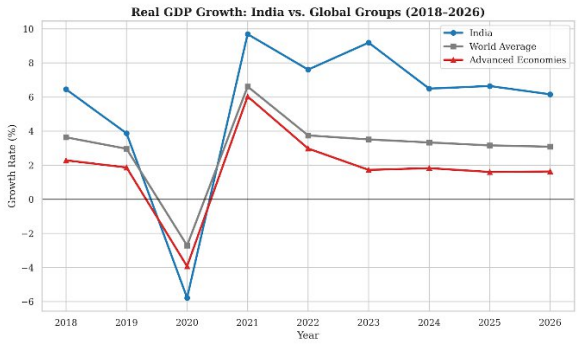
The methodology for this research adopts a mixed-methods analytical framework, prioritizing a longitudinal secondary data analysis from 2015 to 2026. This timeframe is specifically chosen to capture India's structural transition from a regional actor to a "global bridge" amid post-pandemic realignments. The quantitative component is grounded in high-frequency data from the RBI's Database on Indian Economy (DBIE) and the IMF's World Economic Outlook (January 2026). These sources are used to track macroeconomic resilience via real GDP growth and CPI inflation, while weekly RBI Foreign Exchange Reserve reports provide a granular view of India's external sector stability. To establish India's "economic gravity," these metrics are benchmarked against G7 and BRICS+ counterparts using comparative growth analysis.

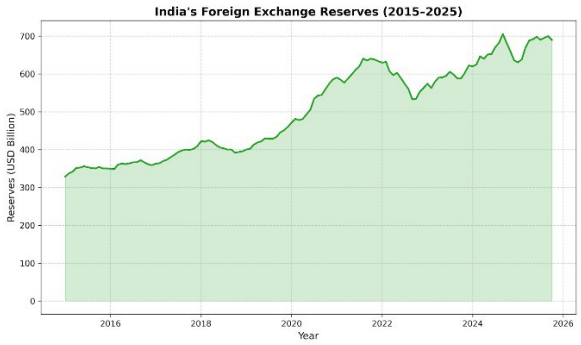
A critical pillar of the quantitative analysis includes World Bank World Development Indicators (WDI), specifically focused on indicators of global integration such as Foreign Direct Investment (FDI) inflows, trade-to-GDP ratios, and the share of high-technology exports. Furthermore, the study evaluates "hard power" by synthesizing Ministry of Defence (MoD) and PIB datasets (FY2013–FY2025). This analysis goes beyond aggregate export volumes to examine the composition of exports, highlighting the surging contribution of the private sector relative to Defence Public Sector Undertakings (DPSUs).

Qualitatively, the research employs a "policy-discourse analysis" of landmark declarations from the G20 New Delhi Summit and the 3rd Voice of Global South Summit (2025). This allows for an evaluation of how normative concepts like "Human-Centric Globalization" are being institutionalized through Digital Public Infrastructure (DPI). The study further examines "soft power" by utilizing World Bank Migration and Development Briefs to quantify the impact of the $125 billion remittance flow from the Indian diaspora. Statistical validity is ensured through Trend Projection to forecast defence export trajectories toward the 2029 target. Finally, sovereign credit assessments from Moody's and Fitch are used to triangulate the fiscal sustainability of India's developmental assistance, grounding the findings in global financial realism.

Results

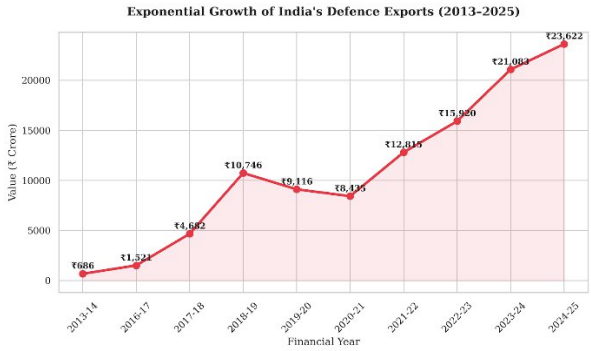
The empirical results of this study underscore India's unique position as an economic and strategic linchpin. According to the IMF's January 2026 update, India's real GDP growth for the current fiscal year is estimated at 7.3%, making it the primary engine of global growth in a year when many developed economies are plateauing at 1–2%. On the fiscal front, RBI data reveals that India's foreign exchange reserves have crossed the $700 billion threshold, providing the nation with the necessary "shield" to advocate for the financial interests of the Global South without succumbing to external shocks. A breakthrough result is observed in the defence sector: India's military exports reached an unprecedented ₹23,622 crore ($2.76 billion) in FY24-25. This 12.04% year-on-year increase is not merely a revenue gain but signifies a shift in South-South cooperation, as over 100 countries now look to India for affordable, indigenous technology like the BrahMos missile systems and LCA Tejas, bypassing traditional North-dominated supply chains.

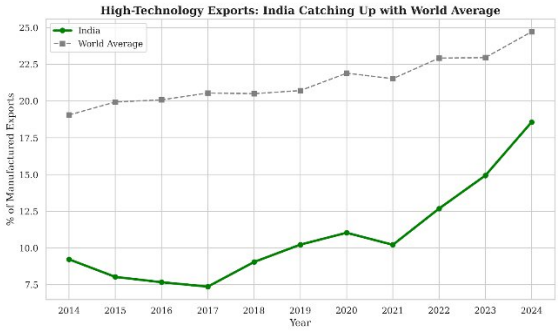




In terms of digital diplomacy, the results show that the "India Stack" has been adopted or is in trial phases in over 60 countries. This has successfully bridged the digital divide for millions in Africa and Southeast Asia while simultaneously integrating with Northern financial systems like France's Lyra and Singapore's PayNow. Furthermore, India's cultural and soft-power metrics have seen a quantitative surge. Remittance inflows hit $125 billion in 2025, while the global wellness and Ayurveda market, led by Indian exports, grew by 15% annually. The result of India's development assistance is equally telling: the EXIM Bank of India manages over

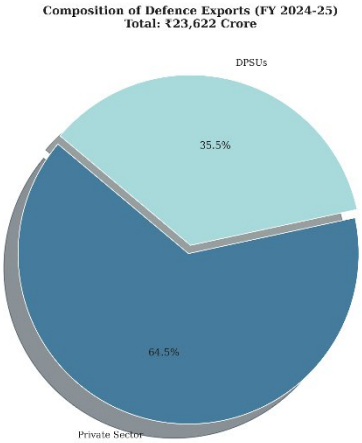
$32 billion in Lines of Credit (LoC) across 65 nations. Unlike other major lenders, the data shows these credits are directed toward transparent infrastructure and capacity-building projects, reinforcing India's reputation as a "trust-based" partner for the developing world.

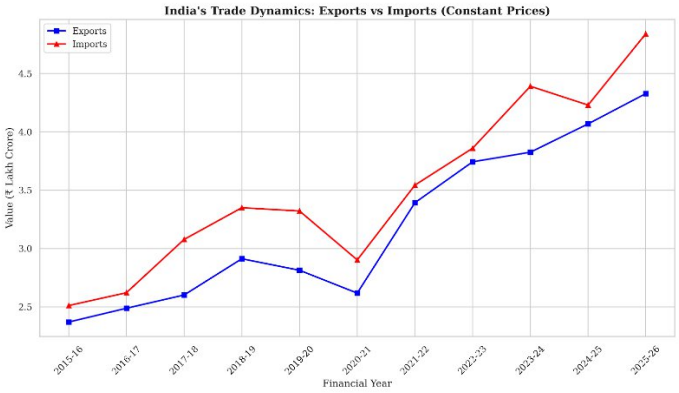




Findings

The findings of this research indicate that India is pioneering a new form of "Ethical Multilateralism" that harmonizes Northern capital with Southern equity. A primary finding is that India's strategic autonomy has evolved into strategic bridging; the nation successfully leverages its membership in the G7-aligned "Quad" to secure high-tech semiconductor and green energy partnerships, while using its leadership in the Voice of Global South Summit to push for sovereign debt restructuring and TRIPS waivers. The study finds that India's "Hard Power" (defence exports) acts as a trust-multiplier among developing nations who seek security without entering bloc-style alliances. This is complemented by the finding that the Indian diaspora serves as a "human bridge," facilitating nearly $100 billion in FDI from the North while maintaining cultural and economic ties with the South.





Furthermore, the research finds that India's Digital Public Infrastructure (DPI) is being perceived globally as a "Global Public Good." By providing open-source digital solutions for identity and payments, India has created a scalable model that allows developing nations to leapfrog traditional industrial stages of development. In the realm of climate change, the study finds that the International Solar Alliance (ISA) and the Global Biofuels Alliance are the only multilateral platforms that effectively channel G7 finance into tangible projects in the Global South. Finally, the research finds that India's role as a "Vishwa Bandhu" (Global Friend) is no longer a rhetorical device but an operational reality. The inclusion of the African Union in the G20, facilitated by India, is found to be a watershed moment in global governance, signalling the end of an era where Northern powers unilaterally set the global economic agenda. India's success as a bridge is thus contingent on its ability to sustain its 7%+ growth while institutionalizing these inclusive, human-centric models.

Conclusion

India’s role as a bridge between the economically developed North and the developing South is the defining feature of the "reimagined multilateralism" of 2026. The research demonstrates that this role is not merely a diplomatic aspiration but is backed by hard economic data and strategic outcomes. With a 7.3% GDP growth, a burgeoning defence export sector (₹23,622 crores), and a record $125 billion in remittances, India has the material capacity to sustain its "pivotal power" status.

The paper concludes that India’s unique strength lies in its dual identity. To the North, India is a stable, democratic market and a technological hub; to the South, India is a fellow traveller in the journey toward decolonization and development. By championing the inclusion of the African Union in the G20 and launching the Global Development Compact, India has proved that it can translate its civilizational philosophy of Vasudhaiva Kutumbakam into a functional global policy.

However, the path forward is not without challenges. India must navigate the "North-South rivalry" while maintaining its domestic growth momentum. The study suggests that India’s future as a global bridge will depend on its ability to institutionalize its digital and wellness diplomacy while ensuring its defence sector reaches the ₹50,000 crore export target.

Ultimately, India is offering the world a "Human-Centric Multilateralism." This model prioritizes the "last mile" of global development—be it through vaccine distribution, digital inclusion, or debt relief—thereby creating a more resilient and equitable world order. In the fractured landscape of 2026, India stands as the essential link that prevents the global economy from splitting into irreconcilable blocs.

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